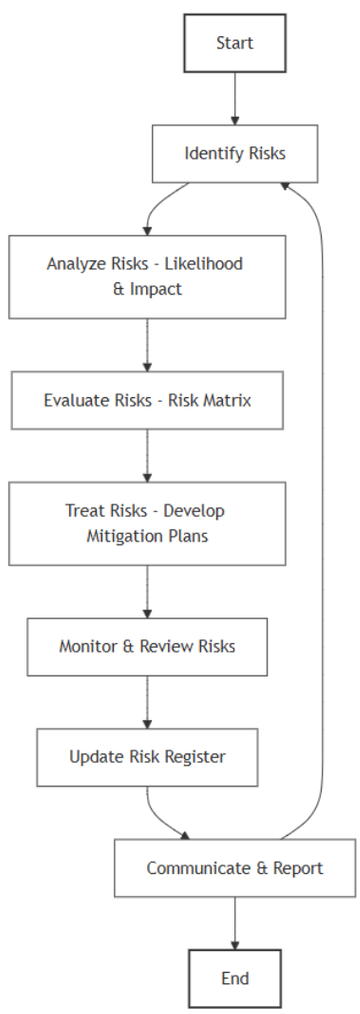
	Document No. PM-0002	Section No.
	Effective Date:	Revision No.
	PROCEDURAL MANUAL	
	RISK MANAGEMENT (GENERAL)	

OBJECTIVE	This document outlines the process and procedure for identifying, analyzing, evaluating, treating, monitoring, and reviewing risks within BHBI. This procedure applies to all projects and operations undertaken by the company, encompassing design, planning, construction activities, and company operations. The aim is to minimize potential negative impacts and maximize opportunities for success.
SCOPE	This procedure covers all stages of a project lifecycle: • **Pre-Design/Planning:** Initial project feasibility and conceptualization. • **Design:** Schematic design, design development, and construction documentation. • **Procurement:** Tendering, contractor selection, and contract award. • **Construction:** On-site construction activities. • **Post-Construction:** Project handover, defect liability period, and project closure. • **Company Operations:** Internal processes, financial management, human resources, etc.

Responsibilities

- **Project Managers (PMs):** Responsible for implementing this procedure on their specific projects, identifying project-specific risks, and ensuring mitigation actions are executed.
- **Principal Designer:** Responsible for identifying and managing design-related risks and coordinating with PMs.
- **Project Engineer:** Responsible for identifying and managing construction-related risks on-site and coordinating with PMs.
- **Safety Officer:** Responsible for identifying and managing safety risks.
- **QA/QC Personnel:** Responsible for identifying and managing quality-related risks.
- **Quantity Surveyor:** Responsible for identifying and managing cost-related risks.
- **Procurement:** Responsible for identifying and managing procurement-related risks.
- **Risk Manager (or Designated Individual):** Oversees the overall risk management process, provides guidance and support, maintains the company's risk register, and reports on risk status to senior management.
- **Board of Directors:** Responsible for endorsing the risk management policy, allocating resources, and making decisions on high-level risks.
- **All Employees:** Responsible for identifying and reporting potential risks to their respective managers.

Flowchart



Procedure

1. Risk Identification

- **Methods:**
  - **Brainstorming Sessions:** Project teams and stakeholders identify potential risks.
  - **Checklists:** Utilize industry-standard and company-specific checklists for design, construction, and operational risks. (See Appendix A for example checklists)
  - **Document Reviews:** Review contracts, drawings, specifications, permits, and other project documents to identify potential issues.
  - **Site Inspections:** Conduct regular site visits to identify hazards and potential risks.
  - **Expert Consultation:** Engage specialists to identify complex or specialized risks.
  - **Lessons Learned:** Review past project experiences to identify recurring risks.
- **Scope of Identification:**
  - **Project-Specific:** Risks related to the particular project, such as site conditions, design complexity, construction methods, material availability, and subcontractor performance.
  - **Company-Wide:** Risks related to the company's operations, such as financial stability, reputation, legal and regulatory compliance, cybersecurity, and human resources.
- **Documentation:** All identified risks are recorded in the Risk Register (See Appendix B for a template).
  - **Deliverables:** Risk Register

2. Risk Analysis

- **Likelihood:** Assess the probability of each risk occurring. Use a scale (e.g., 1-5, where 1=Very Low, 5=Very High).
- **Impact:** Assess the potential consequences if the risk occurs. Consider impacts on project cost, schedule, quality, safety, environment, and reputation. Use a scale (e.g., 1-5, where 1=Insignificant, 5=Catastrophic).
- **Documentation:** Record the likelihood and impact ratings for each risk in the Risk Register.

3. Risk Evaluation

- **Risk Matrix:** Utilize a risk matrix (See Appendix C for an example) to determine the overall risk level (e.g., Low, Medium, High, Extreme) based on the likelihood and impact ratings.
- **Prioritization:** Prioritize risks based on their risk level. Focus on High and Extreme risks first.
- **Documentation:** Record the risk level and priority in the Risk Register.

4. Risk Treatment

- **Risk Response Strategies:**
  - **Avoid:** Eliminate the risk altogether (e.g., change design, choose a different site).
  - **Mitigate:** Reduce the likelihood or impact of the risk (e.g., implement safety measures, conduct additional testing, obtain insurance).
  - **Transfer:** Shift the risk to another party (e.g., through contracts, insurance).
  - **Accept:** Acknowledge the risk and develop contingency plans (e.g., allocate budget contingency, develop alternative solutions).
- **Action Planning:** Develop detailed action plans for each risk, including:
  - **Specific actions** to be taken.
  - **Responsible parties** for implementing the actions.
  - **Timeline** for completion.
  - **Required resources**.
- **Documentation:** Record the chosen risk response strategy and detailed action plan in the Risk Register.
  - **Deliverables:** Risk Treatment Plans or Risk Mitigation Plans

5 Risk Monitoring and Review

- **Regular Monitoring:**
  - **Project Managers** monitor risks on their projects on a weekly/bi-weekly basis.
  - **Risk Manager** reviews the overall company risk profile monthly.
  - Monitor the effectiveness of implemented risk responses.
  - Track the progress of action plans.
  - Identify any new or emerging risks.
- **Formal Reviews:**
  - Conduct formal risk reviews at key project milestones (e.g., design completion, contract award, construction phases).
  - Hold periodic company-wide risk review meetings.
- **Documentation:** Update the Risk Register with the status of each risk, including any changes in likelihood, impact, or risk level.

6. Risk Communication and Reporting

- **Internal Communication:**
  - Regularly communicate risk information to project teams and relevant stakeholders.
  - Discuss risks in project meetings and progress reports.
- **External Communication:**
  - Communicate relevant risk information to clients, contractors, and other external stakeholders as required.
- **Reporting:**
  - **Project Managers** report on project-specific risks to the Risk Manager.
  - **Risk Manager** provides regular risk reports to senior management, highlighting high-level risks and the effectiveness of risk management efforts.
  - **Deliverables:** Risk Reports

7 Training

- All employees will receive training on this Risk Management Process and Procedure.

- Specific training will be provided to Project Managers, Principal Designers, Project Engineers, Safety Officers, QA/QC Personnel, Quantity Surveyors, Procurement, and other key personnel on their responsibilities within the risk management process.

8. Continuous Improvement

- This procedure will be reviewed and updated at least annually, or more frequently as needed, to ensure its continued effectiveness and relevance.
- Lessons learned from risk management activities will be incorporated into the procedure and shared across the company.

9. Appendices

- **Appendix A: Example Risk Checklists**
- **Appendix B: Risk Register Template**
- **Appendix C: Risk Matrix Example**

Prepared by:	Reviewed by:	Approved by:	Noted by:
Marcone John Perea *Office Engineer*	**Mark Anthony Pajes** *Project Engineer*	**Nemesia P. Baylon** *Development Director*	**Adrian Carlo Escay** *President & CEO*